

As we're preparing to move operations into Qatar, I wanted to lay out a clear view of the actual setup costs involved, so we're aligned on what is required and why.

At a high level, **the setup splits into two parts**: founder relocation and company-level regulatory requirements. One important point upfront, most of these costs are expected to be reimbursed through the Bridge Startup Program (Pakistan) <https://ignite.org.pk/bridgestart/> after roughly 6 months (around month 7–8). So this is primarily a timing gap in capital rather than permanent burn.

1: Starting with founder relocation:

These are mandatory costs required for founders to relocate and establish legal residency in Qatar.

Per Founder Breakdown

- One-way air ticket: **PKR 90,000**
- Work visa processing: **PKR 60,000**
- QID (Qatar Residency Permit): **QAR 4,000 (~PKR 290,000)**
 - Includes:
 - Medical examination
 - Biometric registration
 - Residency issuance

Total Per Founder

👉 ~PKR 440,000

For 2 Founders

👉 ~PKR 880,000

Adjustment (Founder Contribution)

A portion of these costs (~30%) can be covered personally by founders.

👉 Adjusted company-side cost: ~PKR 616,000

2. Accommodation (Short-Term Initial Stay)

- 1-bedroom apartment rent: **QAR 1,800/month (~PKR 133,374)**

Expected duration: **1–2 months only**

After this period, accommodation is expected to be provided under **QSTP (government-supported housing)**.

Estimated Cost

👉 **PKR 133,000 – 266,000**

Note: This estimate excludes utilities, travel, and daily living expenses, which are intentionally not included in this calculation this is strictly setup-related.

3. Regulatory & Company Setup Costs (QFC Requirements)

These are **mandatory compliance costs** required to operate under Qatar Financial Centre (QFC).

3.1 Authorized Auditor (Mandatory)

- Required within **3 months of company registration**
- Annual cost: **~USD 1,000 (~PKR 280,000)**

50% of this will be reimbursed by QSTP itself after payment to the auditor.

3.2 Bank Account Requirement

- Minimum balance requirement: **QAR 5,000 (~PKR 280,000) throughout**
- Required to:
 - Open and maintain corporate account
 - Ensure operational banking capability

Note: Other banks (e.g., QIIB) may require higher minimum balances.

Total Regulatory Cost

👉 **~PKR 560,000**

Putting it all together:

- Founder relocation (after adjustment): **~PKR 616,000**
- Short-term accommodation: **~PKR 130K–260K**
- Regulatory + banking: **~PKR 560,000**

This brings the total setup requirement to approximately average **PKR 1.2-3M**.

The key point here is that these are not optional or expansion-related costs , they are required to operate properly in Qatar. Without QID, we can't function legally; without the auditor, we're non-compliant; without the bank setup, we can't run operations.

What are the main factors of raising 2M against 5% equity?

Alongside the setup cost breakdown, I also wanted to clarify the thinking behind the **PKR 2M bridge requirement and the initial idea of ~5% equity**, since this came up in discussion.

At this stage, the primary objective is not to raise capital for growth or valuation purposes, but simply to ensure that we have **enough working capital to execute properly over the next 4–6 months**, especially as we transition into Qatar and start operating on ground.

A large portion of the Qatar setup cost is reimbursable through the Bridge Startup Program after ~6 months, which means this capital is effectively **covering a timing gap rather than permanent burn**. Because of that, my view is that we should avoid locking ourselves into a valuation or diluting equity unnecessarily at this point.

The idea of **PKR 2M against ~5% equity** was just an initial reference to open the discussion, not something fixed or decided by me . Similarly, the mention of Rafay Khan Niazi was only a directional thought based on prior interaction and strategic alignment, not an active investor outreach.

Ideally, I would prefer to structure this in a way that keeps flexibility for example through a **SAFE or convertible note**, where we can defer valuation to a more appropriate stage once we have stronger product validation and in-market traction. Given the nature of this capital (short-term and partially reimbursable), that feels more aligned than committing to equity early.

That said, I don't see this as something we need to push externally immediately. My preference would be to first **align internally on the best structure and approach**, and then decide whether this is solved through internal support, strategic capital, or a small external bridge if needed.

The core goal remains the same:

to ensure we have enough capital to execute without friction during this phase, while keeping long-term ownership and structure clean.

